

FIELD GUIDE

FOR LOCAL GOVERNMENT

County Officials

Zoning, permitting, moratoriums, transparency rules, and enforceable community benefit agreements are tools available to you.

County officials wield significant authority over data center development through zoning, permitting, moratoriums, and standards on noise levels and energy use.

Secure Smart Siting

- ◆ **Optimize Existing Assets:** Externalities such as diesel backup generators, noise, design, and 24/7 lighting are common flashpoints for local communities and can lead to lawsuits and opposition. Prioritize development on pre-zoned industrial, commercial, or brownfield sites to reduce litigation and infrastructure friction.
- ◆ **Use Appropriate Approvals:** Shift from automatic “by-right” approvals to “special-use” permits to ensure the public has a voice in projects and secures the best possible terms for residents.
- ◆ **Secure Neighborhood Character:** Require developers to fully enclose cooling and ventilation systems and screen mechanical equipment from view to maintain local aesthetic and property value near residential zones.
- ◆ **Siting for Grid Stability:** Demand grid reliability assessments before granting permits.
- ◆ **Use Temporary Pauses:** Implement temporary moratoriums to create the political space to develop lasting ordinances that protect communities and to update outdated regulations.

STERLING HEIGHTS, MI

The Sterling Heights, MI City Council unanimously voted to pause new data center developments for one year. Officials noted that existing zoning restrictions (written in 1978) no longer reflect the demands of modern computing infrastructure, prompting planning and legal staff to use the moratorium period to study and develop updated regulations.

Mandate Transparency

- ◆ **Standardized Disclosure:** To better understand local impacts, require data center developers to provide clear, non-aggregated data on predicted energy demand, backup energy systems, flexible load assurance, and contingency plans in case of power delivery interruptions.
- ◆ **Avoid Secrecy:** Refrain from agreeing to or allowing NDAs. Instead, maintain transparency and trust with constituents, mitigating data center development aversion.
- ◆ **Implement Sunshine Periods:** Adopt mandatory public review periods before public bodies vote on projects covered by NDAs.

PIMA COUNTY, AZ

Pima County, AZ, instituted a 90-day sunshine period after Project Blue NDAs were uncovered and received public backlash. The sunshine period aims to increase transparency and public knowledge of proposed data centers. The county also capped economic development NDA terms at two years and now requires that a list of active NDAs for economic development projects be provided to the Board of Supervisors quarterly.

- ◆ **Amplify Public Forum Messaging:** Public engagement allows for informed constituents and democratic participation; it eliminates backend opposition and public distrust. Local officials should use communications tools to publicize local forums, including public budget hearings and citizens' assemblies, to increase citizens' awareness of avenues for reform. Forums can inform communities about the benefits of data center development and allow officials to explain how they have mitigated externalities and maximized community benefits.
- ◆ **Follow Generally Accepted Accounting Principles:** Publicly disclose local tax abatement revenue losses to data centers under the Governmental Accounting Standards Board's (GASB) Statement No. 77 on Tax Abatement Disclosures in an Annual Comprehensive Financial Report (ACFR) for economic development projects.

Optimize Incentives

- ◆ **Know Your Worth:** In high-demand data center clusters (with lower-cost energy, a skilled workforce, fiber-optic connectivity, pre-zoned land, and proximity to metropolitan areas), county officials have the leverage to raise taxes on computer equipment and peripherals or to remove existing exemptions, securing higher revenues to fund communities.

PRINCE WILLIAM COUNTY, VA

In Prince William County, VA, the Board of County Supervisors raised the computer and peripheral tax rates from \$2.15 to \$4.15 per \$100 of assessed value from 2024 to 2026.

- ◆ **Protect Residential Electricity Consumers:** Ensure rates protect residents from bearing the up-front costs of transmission, grid capacity upgrades, and stranded asset contingency funding.
- ◆ **Review Underperforming Incentives:** Periodically assess whether data center tax exemptions (e.g., property taxes) provide a balanced return on investment compared to the community costs they impose.

PRINCE WILLIAM COUNTY, VA

Prince William County, VA, Board of County Supervisors commissioned a "Data Center Fiscal Impact Analysis," a cost-benefit analysis of data center revenue versus expenditures. The report concluded that the data center industry is a local "net benefit."

- ◆ **Lobby the State:** Employ state legislative lobbyists to repeal unproductive state tax exemptions for data centers to increase county funds that flow from the state revenue.

PIMA COUNTY, AZ

The Pima County, AZ Board of Supervisors voted to direct the state legislative lobbyist to advocate on the county's behalf to eliminate state and local tax exemptions on data center equipment.

Ensure Quality of Life Protections

- ◆ **Set Enforceable Development Thresholds:** Establish local limits for noise and residential protection distances from developments.
- ◆ **Enforce Community Benefit Standards:** Use agreements with developers that mandate and enforce minimum tax payments and local hiring standards in exchange for subsidies. Establish Community Benefit Agreements (CBAs) with local buy-in and input.

WEST DES MOINES, IA

West Des Moines, Iowa, officials struck a deal with Microsoft, securing commitments that its data centers will run entirely on renewable energy and generate over \$2 billion in tax revenue.

- ◆ **Translate Technical Impacts:** Before approval, require the scale of power demand to be translated into meaningful local terms (e.g., as a percentage of total local power consumption) so that residents can understand the measurable footprint of the data center.

Additional Resources: Data Center Regulation Tracker · Database of Emerging Large-Load Tariffs